

6 habits of successful investors

Sticking to a plan, even in challenging times, can help you now and in the future.

Fidelity Viewpoints



Key takeaways

- Creating a financial plan can help you make better decisions about investing and saving.
- It's important to stick to your plan, even when financial markets are turbulent.
- Fidelity can help you set goals and create a plan, regardless of how much money you have to invest.

Investing is not about "getting rich" or "playing the market." It's an essential part of achieving financial wellness. That means being able to meet your needs and the needs of those who depend on you as well as being able to set and achieve goals that go beyond merely being able to pay your bills and manage debts like mortgages, credit cards, and student loans.

These 6 steps can help you increase your investing success and achieve financial wellness, even when financial markets seem unfriendly.

1. Start with a plan

At Fidelity, we believe creating a financial plan can provide the foundation for investment success. The financial planning process can help you take stock of your situation, define your goals and figure out practical steps to get there.

Financial planning doesn't have to be fancy or expensive. You can do it with the help of a financial professional or consider using Fidelity's [digital planning tools](#). Either way, making a plan based on sound financial planning principles is an important step.

A plan is one service that financial professionals frequently offer their clients.



2. Stick with your plan, even when markets look unfriendly

When the value of your portfolio falls, it's only human to want to run for shelter. But the best investors don't. Instead, they maintain an allocation to stocks they can live with in good markets and bad.

The financial crisis of late 2008 and early 2009 might have seemed a good time to run for safety in cash. But a Fidelity study of 1.5 million workplace savers found that those who stayed invested in the stock market during that time were far better off than those who headed for the sidelines.¹

In the decade following the crisis, those who stayed invested saw their account balances—which reflected the impact of their investment choices and contributions—grow 147%. That's twice the average 74% return for those who fled stocks during the fourth quarter of 2008 or first quarter of 2009. While most investors did not make any changes during the market downturn, those who did made a fateful decision with a lasting impact. More than 25% of those who sold out of stocks never got back into the market and missed the gains that followed.¹

If you get anxious when the stock market drops, remember that's a normal response to volatility. It's important to stick with your long-term investment mix and to have enough growth potential to achieve your goals. If you can't tolerate the ups and downs of your portfolio, consider a less volatile mix of investments that you can stick with.

3. Be a saver, not a spender

While it's easy to get caught up in the ups and downs of the market, it's also important to think about how much of your income you are putting away for the future. Saving early and often can be a powerful force when it comes to making progress toward long-term financial goals.

As a general rule, Fidelity suggests putting away at least 15% of your income for retirement, including any employer match.² Of course, that number is just a starting point—for some people it will be lower and for some people it will be higher. But one thing is clear: Starting early and saving consistently can make a big difference over time.

And the effort may be paying off. Fidelity's latest quarterly report, *Building Financial Futures*, shows that workers across generations have boosted their savings rates, averaging 9.5% in Q2 2025.³ Add in an average employer contribution of 5.1%, and many savers are already hitting that 15% target. The result? After 15 years of steady saving, the average Gen X workplace retirement balance has grown to about \$624,300.³ That's the power of persistence.

4. Diversify

Fidelity believes one key foundation of successful investing is diversification (owning a variety of stocks, bonds, and other assets), which can help control risk.

Having an appropriate investment mix, giving you a portfolio that delivers growth potential with a level of risk that makes sense for your situation, may make it easier to stick with your plan through the ups and downs of the market.

Diversification cannot guarantee gains, or that you won't experience a loss, but it does aim to provide a reasonable trade-off between risk and reward. You can not only diversify among stocks, bonds, and cash, but also within those categories. Consider diversifying your stock exposure across regions, sectors, investment styles (value, blend, and growth), and size (small-, mid-, and large-cap stocks). For bonds, consider diversifying across different credit qualities, maturities, and issuers.

5. Consider low-fee investment products that offer good value

Savvy investors know [Log in](#) can't control the market, but they can control costs. A study by independent research company Morningstar® found that, while by no means guaranteed, funds with lower expense ratios have historically had a higher probability of outperforming other funds in their category—in terms of relative total return, and future risk-adjusted return ratings. (Read [details of the study](#).)

Fidelity has also found that trading commissions and execution vary greatly among brokers, and the cost of trading affects your returns. Learn more about [using price improvement for trading savings](#).

6. Don't forget about taxes

Another habit that may help investors succeed is keeping an eye on taxes and account types.

Accounts that offer tax benefits, like 401(k)s, IRAs, and certain annuities have the potential to help generate higher after-tax returns. This is what investors call "account location"—the amount of money you put into different types of accounts should be based on each account's respective tax treatment. A related concept is called "asset location"—the practice of putting different types of investments in various types of accounts, based on the tax efficiency of the investment and the tax treatment of the type of account.

While taxes alone should never drive your investment decisions, you may want to consider putting your least tax-efficient investments (for example, taxable bonds whose interest payments are taxed at relatively high ordinary income tax rates) in tax-deferred accounts like 401(k)s and IRAs. Meanwhile, more tax-efficient investments (for example, low-turnover funds, like index funds or many ETFs, and municipal bonds, where interest is typically free from federal income tax) are usually more suitable for taxable accounts.

The bottom line

Investing can be complex, but some of the most important habits of successful investors are pretty simple. If you build a smart plan and stick with it, save enough, make reasonable investment choices, and be aware of taxes, you will have adopted some of the key traits that may lead to success.

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1. The account balances and asset allocation data in this story are based on a longitudinal study of active participants in Fidelity record-kept corporate defined contribution savings plans. The data looked at a cohort of 1,470,700 participants who were active in workplace savings plans for the entire period from June 2007 through June 2017. Roughly 1.5% of participants went to 0% equities during the fourth quarter of 2008 or first quarter of 2009. Please note that past performance is not a guarantee of future results and the averages can obscure significant variation for individual account results.

2. Fidelity's suggested total pre-tax savings goal of 15% of annual income (including employer contributions) is based on our research, which indicates that most people would need to contribute this amount from an assumed starting age of 25 through an assumed retirement age of 67 to potentially support a replacement annual income rate equal to 45% of preretirement annual income (assuming no pension income) through age 93. The income replacement target is based on the Consumer Expenditure Survey 2011 (BLS), Statistics of Income 2011 Tax Stats, IRS 2014 tax brackets, and Social Security Benefit Calculators. The 45% income replacement target (excluding Social Security and assuming no pension income) from retirement savings was found to be fairly consistent across a salary range of \$50,000-\$300,000; therefore, the savings rate suggestions may have limited applicability if your income is outside that range. Individuals may need to save more or less than 15% depending on retirement age, desired retirement lifestyle, assets saved to date, and other factors. The scores for dedicated savers and less dedicated savers were not adjusted for other potential differences in these two populations.

3. Fidelity Investments Q2 2025 401(k) data based on 25,600 corporate defined contribution plans and 24.6 million participants as of June 30, 2025. These figures include the advisor-sold market but exclude the tax-exempt market. Excluded from the behavioral statistics are nonqualified defined contribution plans and plans for Fidelity's own employees. Generations as defined by Pew Research: Baby boomers are individuals born between 1946 and 1964, Gen X are individuals born between 1965 and 1980, millennials include individuals born between 1981 and 1996, and Gen Z includes individuals born between 1997 and 2012.

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Stock markets, especially foreign markets, are volatile and can decline significantly in response to adverse issuer, political, regulatory, market, or economic developments.

In general, the bond market is volatile, and fixed-income securities carry interest rate risk. (As interest rates rise, bond prices usually fall, and vice versa. This effect is usually more pronounced for longer-term securities.) Fixed-income securities also carry inflation risk and credit and default risks for both issuers and counterparties. Unlike individual bonds, most bond funds do not have a maturity date, so holding them until maturity to avoid losses caused by price volatility is not possible. Lower-quality debt securities involve greater risk of default or price changes due to potential changes in the credit quality of the issuer.

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